25900800 **Reg.No : .....**

Name : .....

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS) REGULAR /IMPROVEMENT/ REAPPEARANCE EXAMINATION November 2025

First SEMESTER

Multi-Disciplinary Courses (MDC) - MG1MDCECO101 - FOUNDATIONS IN ECONOMICS

(2024 ADMISSION ONWARDS)

Duration: 1 Hour 30 Minutes **Maximum Marks: 50**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

Multiple choice questions

Answer all questions

Each question carries **1** marks

1. Public finance primarily deals with [K] / [CO1]

   a). Individual income and expenditure b). Government revenue and expenditure

   c). Company's balance sheets d). Household budgets

2. The two-sector model of circular flow of income consists of [K] / [CO1]

   a). Households and Government b). Firms and Foreign Sector

   c). Households and Firms d). Government and Foreign Sector

3. [K] / [CO1]

   Net National Product (NNP) at Factor Cost is also known as

   a). Gross National Product b). National Income

   c). Net Domestic Product d). Per Capita Income

4. The shape of a normal demand curve is [U] / [CO2]

a). upward sloping b). downward sloping

c). concave shaped d). None of the above

5. A budget where expenditure less than revenue is called [K] / [CO2]
   a). Deficit Budget b). Surplus Budget
   c). Balanced Budget d). Revenue Budget

6. RBI is the central bank of [K] / [CO3]
   a). India b). USA
   c). UK d). Canada

7. Hedge funds are known for [K] / [CO3]
   a). Low-risk investments b). High-risk, high-return strategies
   c). Only government-backed schemes d). Non-profit purposes

8. A debit card is directly linked to your _____. [U] / [CO3]
   a). Loan account b). Savings or current account
   c). Credit account d). Fixed deposit account

9. Which year RBI established [K] / [CO3]

   a). 1932 b). 1933

   c). 1934 d). 1935

10. Which of the following statements about UPI is incorrect? [U] / [CO3]
    a). It enables fund transfer through mobile applications b). It requires an IFSC code for every transaction
    c). It uses Virtual Payment Addresses d). It is managed by NPCI

11. The main participants in the primary markets are [U] / [CO4]

    a). Brokers and dealers b). Invetors and existing share holders

    c). Issuing companies and investors d). Traders and speculators

12. The capital market provides finance for [U] / [CO4]

    a). Working capital requirements b). Fixed capital requirements

    c). Short term borrowings d). Trade Credit

13. The capital market is organised in India by [K] / [CO4]
    a).RBI b).NABARD
    c).SEBI d). IRDA

14. The NSE uses which type of trading mechanism? [U] / [CO4]

a). Open outcry system b). Screen based electronic system

c). Physical share transfer d). Auction trading only

15. CBLO is a ……instrument that represents an obligation between a borrower and a lender. [K] / [CO4]

a).Money market b).Primary market

c).Capital market d).All of the above

[1x15 = 15]

Part B

Short Answer

Answer any **10** questions

Each question carries **2** marks

16. Define scarcity. [U] / [CO2]

17. What do you mean by Value Added in national accounting ? [K] / [CO1]

18. What is the difference between total utility and marginal utility? [K] / [CO1]

19. Distinguish between productive and unproductive debt. [U] / [CO2]

20. State any two objectives of public expenditure. [U] / [CO2]

21. Define Repo rate. [U] / [CO3]

22. What does "Zero Balance Account" mean. [U] / [CO3]

23. Differenciate commodity money and fiat money. [U] / [CO3]

24. Mention one function each of NABARD and MUDRA Bank. [K] / [CO3]

25. Define Primary Agricultural Credit Societies. [U] / [CO3]

26. Define financial Intermediation [U] / [CO3]

27. What is non-converible debenture? [U] / [CO4]

28. What is a Primary Market [K] / [CO4]

29. What role does SEBI play in regulating stock exchanges? [U] / [CO4]

[2x10 = 20]

Part C

Short Essay

Answer any **3** questions

Each question carries **5** marks

30.	How does MRS help in understanding consumer preferences between two goods?	[U] / [CO2]
31.	Describe the concept of non-tax revenue. Explain the primary sources of non-tax revenue.	[U] / [CO2]
32.	Define monetary policy. Explain how it work as a credit comtrol tool?	[U] / [CO1]
33.	State the definitions of M0 and M1 compomemts of money supply.	[K] / [CO3]
34.	Discuss the objectives, functions and importance of SIDBI in promoting small-scale industries.	[U] / [CO3]
35.	What are the feautures of CBLO?	[K] / [CO4]
36.	Explain the functions of Money market.	[U] / [CO4]

[5x3 = 15]